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| <b>Subject Code</b>                                   | <b>AF5115</b>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                     |
| <b>SubjectTitle</b>                                   | <b>Accounting for Business Analysis</b>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                           |
| <b>Credit Value</b>                                   | 3                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                 |
| <b>Level</b>                                          | 5                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                 |
| <b>Normal Duration</b>                                | One Semester                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                      |
| <b>Pre-requisite/<br/>Co-requisite/<br/>Exclusion</b> | None                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                              |
| <b>Objectives</b>                                     | <p>This subject aims to outline and explain the accounting concepts, techniques and current regulatory and governance environment that are pertaining to the preparation, presentation, analysis, understanding, and evaluation of financial reports.</p> <p>It contributes to the achievement of MSc AFA Programme Outcome by enabling students to use the conceptual frameworks needed to evaluate contemporary issues about accounting and finance disciplines (MSc AFA Programme Outcome 1).</p>                                                                                                                                                                                                                                                                                                                              |
| <b>Intended Learning Outcomes</b>                     | <p>Upon completion of the subject, students will be able to:</p> <ul style="list-style-type: none"> <li>a. Understand and apply the accounting concepts and techniques, and evaluate their impact on financial statement figures and presentation;</li> <li>b. Analyze and evaluate financial statements and financial performance with various tools such as ratio analysis, trend analysis, and common-size financial statements;</li> <li>c. Assess the accounting policies and governance structure adopted by companies as well as the reporting regulations, such as HKFRS and IFRS, and their impact on the quality of earnings; and</li> <li>d. Evaluate the impact of financial analysis on capital markets, and business and financial strategy development, investment and business combination activities.</li> </ul> |

**Subject  
Synopsis/Indicative  
Syllabus**

**Overview of financial Statement**

- To provide you with the skills to efficiently allocate financial resources among different businesses and apply the framework to a variety of business decisions.

**Understanding the Business**

- To develop a thorough knowledge of the macroeconomic environment, industry structure and the operations and strategies of the particular business for firms you are studying

**Accounting (Balance Sheet and Income Statement) Analysis**

- Review basic accounting concepts and the key financial statements
- Evaluate how well the accounting reflects the underlying economics of the business
- We will describe the limitations of financial statement information and providing guidelines for addressing these limitations

**Financial Ratio Analysis**

- Provides a framework for interpreting and forecasting a huge quantity of financial data in an organized and systematic manner.

**Cash Flow Analysis**

- Create a pro forma statement of cash flows based on standardized income statements and balance sheets
- Describe how to use the information in the resulting cash flow statements to evaluate the cash consequences of the company's operating, investing and financing activities

**Accounting Issues and Audit Report**

- Accounting standards and financial statement reporting
- Non-recurring items, valuation of tangible and intangible assets, segment reporting
- Equity method of accounting
- Earnings management in financial tsunami
- Quality of earnings
- Significance and Implications of auditors' opinion for financial reporting

**Financial Reporting and Analysis for Investment**

- Financial reporting and analysis for marketable securities
- Bankruptcy prediction
- Other information disclosed in annual report

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|                                                                                                                                                                                                                                                                                                                                                                                                                                           |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                 |             |                                                                                |   |   |   |  |  |
| Teaching/Learning Methodology                                                                                                                                                                                                                                                                                                                                                                                                             | <p>This subject comprises of class-contact lectures and workshops. Workshops will be conducted in the form of group discussion, seminar and case study. Students are expected to apply their knowledge to the discussion of the current accounting, business and finance issues faced by an executive of a firm. It is the basic philosophy of learning in this subject that at least 2 hours of outside preparation are usually required to read the assigned textbook chapter(s) and reading materials, and to prepare solutions to exercises and problems as well as presentations, as a prerequisite for a meaningful 1-hour classroom lecture/seminar.</p> |             |                                                                                |   |   |   |  |  |
| Assessment Methods in Alignment with Intended Learning Outcomes                                                                                                                                                                                                                                                                                                                                                                           |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                 |             |                                                                                |   |   |   |  |  |
|                                                                                                                                                                                                                                                                                                                                                                                                                                           | Specific assessment methods/tasks                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                               | % weighting | Intended subject learning outcomes to be assessed (Please tick as appropriate) |   |   |   |  |  |
|                                                                                                                                                                                                                                                                                                                                                                                                                                           |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                 |             | a                                                                              | b | c | d |  |  |
|                                                                                                                                                                                                                                                                                                                                                                                                                                           | 1. Class participation                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                          | 10%         | ✓                                                                              | ✓ | ✓ | ✓ |  |  |
|                                                                                                                                                                                                                                                                                                                                                                                                                                           | 2. Individual assignment                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                        | 20%         | ✓                                                                              | ✓ |   |   |  |  |
|                                                                                                                                                                                                                                                                                                                                                                                                                                           | 3. Group project and presentation                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                               | 20%         | ✓                                                                              | ✓ | ✓ | ✓ |  |  |
|                                                                                                                                                                                                                                                                                                                                                                                                                                           | 4. Final Examination                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                            | 50%         | ✓                                                                              | ✓ | ✓ | ✓ |  |  |
|                                                                                                                                                                                                                                                                                                                                                                                                                                           | Total                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                           | 100 %       |                                                                                |   |   |   |  |  |
| <p>Explanation of the appropriateness of the assessment methods in assessing the intended learning outcomes:</p> <p>Class participation – Students have to read assigned reading materials and complete exercises in order to participate actively in class discussion, which would assess their understanding of the key accounting concepts and techniques, and their applications, analysis and evaluation in financial reporting.</p> |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                 |             |                                                                                |   |   |   |  |  |

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|                                      | <p>Individual assignment – Each student is required to apply the accounting knowledge and techniques to analyze and evaluate the financial position of a company based on its financial statements. The objectives are to test students' understanding and application of relevant concepts and techniques in accounting and financial analysis to a practical situation.</p> <p>Group project and presentation – Students are required to select a target company for detailed analysis, evaluate its financial performance, and assess its reporting and earnings quality. Students would apply the accounting knowledge and techniques to analyze and evaluate the impact of the macro-economic, business environment, industry, and company operation information on the financial and other qualitative performance indicators.</p> <p><b>Note: The specific requirements on individual assessment components discussed above could be adjusted based on the pedagogical needs of subject lecturers.</b></p> |          |
| <b>Student Study Effort Expected</b> | Class contact:                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                    |          |
|                                      | Lectures / Seminars                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                               | 39 Hrs.  |
|                                      | Other student study effort:                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                       |          |
|                                      | Reading materials / textbook, preparing for class discussion, and assignments.                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                    | 78 Hrs.  |
|                                      | Total student study effort                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                        | 117 Hrs. |
| <b>Reading List and References</b>   | <p><b>Textbook</b><br/>Kieso, D., Weygandt, J., and Warfield, T. Intermediate IFRS, 5E Equity Valuation and Analysis: 6th Edition, by Russell Lundholm and Richard Sloan</p> <p><b>References</b><br/>Debra C. Jeter and Paul K. Chaney, Advanced Accounting, 8th Edition<br/>Penman, S.H., Financial Statement Analysis and Security Valuation, 5<sup>th</sup> Edition, McGraw-Hill Education, 2013.</p> <p><b>Indicative Journal Reading:</b><br/>Campbell, John Y., Jens Hilscher, and Jan Szilagyi, 2008, In search of distress risk, <i>The Journal of Finance</i> 63, 2899-2939.<br/>Dechow, Patricia, Weili Ge, and Catherine Schrand, 2010,</p>                                                                                                                                                                                                                                                                                                                                                           |          |

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|  | <p>Understanding earnings quality: A review of the proxies, their determinants and their consequences, <i>Journal of Accounting and Economics</i> 50, 344-401.</p> <p>Lee, Charles M. C., 2014, Value investing: Bridging theory and practice, <i>China Accounting and Finance Review</i> 16, 10-38.</p> |
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